



INSURANCE AND PENSIONS COMMISSION (IPEC)

SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 30 JUNE 2016

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Executive Summary

Owing to the economic challenges currently prevailing, the volume of business written by non-life insurers in terms of total gross premium written (GPW) decreased by 4.97% from \$120.31 million for the half year ended 30 June 2015 to \$114.33 million for the half year ended 30 June 2016. Gross premium written amounting to \$50.13 million was generated through insurance brokers. Although business written by non-life reinsurers from the local market decreased significantly, growth in business written from outside Zimbabwe grew resulting in negligible changes in total gross premium from \$60.18 million for the six months ended 30 June 2015 to \$60.07 million for the six months ended 30 June 2016. The business generated by reinsurance brokers during the quarter under review amounted to \$38.84 million. Motor and fire insurance remained the dominant classes of insurance in the non-life insurance sector. Only two underwriters reported capital positions which were below the minimum regulatory requirement as at 30 June 2016. Total assets for the insurance industry amounted to \$391.07 million as at 30 June 2016 compared to \$390.30 million reported as at 31 March 2016. Non-life insurers and reinsurers reported industry average prescribed assets ratios of 10.80% and 7.72% respectively as at 30 June 2016. The above mentioned ratios were above the minimum requirement of 5%. However, a total of ten (10) insurers and three (3) reinsurers were not compliant with the minimum prescribed asset ratio. Notwithstanding the decrease in business written by both non-life insurers and non-life reinsurers, total profit after tax increased from \$5.23 million and \$3.40 million for the half year ended 30 June 2015 to \$6.88 million and \$4.72 million for the half year ended 30 June 2016 respectively. The increase in profit after tax was on the back of decreasing operating expenses and net incurred claims.

1. Architecture of the Non-Life Insurance Industry

There were five hundred and eighty eight (588) registered entities/persons in the non-life insurance industry as at 30 June 2016. The architecture of the industry is shown in Table 1 below.

Table 1: Architecture of the Non-life Insurance Industry

Type of Institution	Number of Registered Entities/Persons			Number of Suspended/ Non-Operating Entities
	31 Dec 15	31 Mar 16	30 Jun 16	30 Jun 16
Insurance Companies	24	23	22	2
Reinsurance Companies	9	8	8	-
Insurance Brokers	31	29	29	-
Reinsurance Brokers	6	6	6	-
Loss Assessors	22	24	26	-
Corporate Agents	128	129	116	-
Sole Agents	389	390	381	-
Total	597	609	588	2

KMFS Insurance Company was deregistered during the quarter under review. Excellence Insurance Company and Heritage Insurance Company remained under suspension from initiating and renewing business.

SECTION A

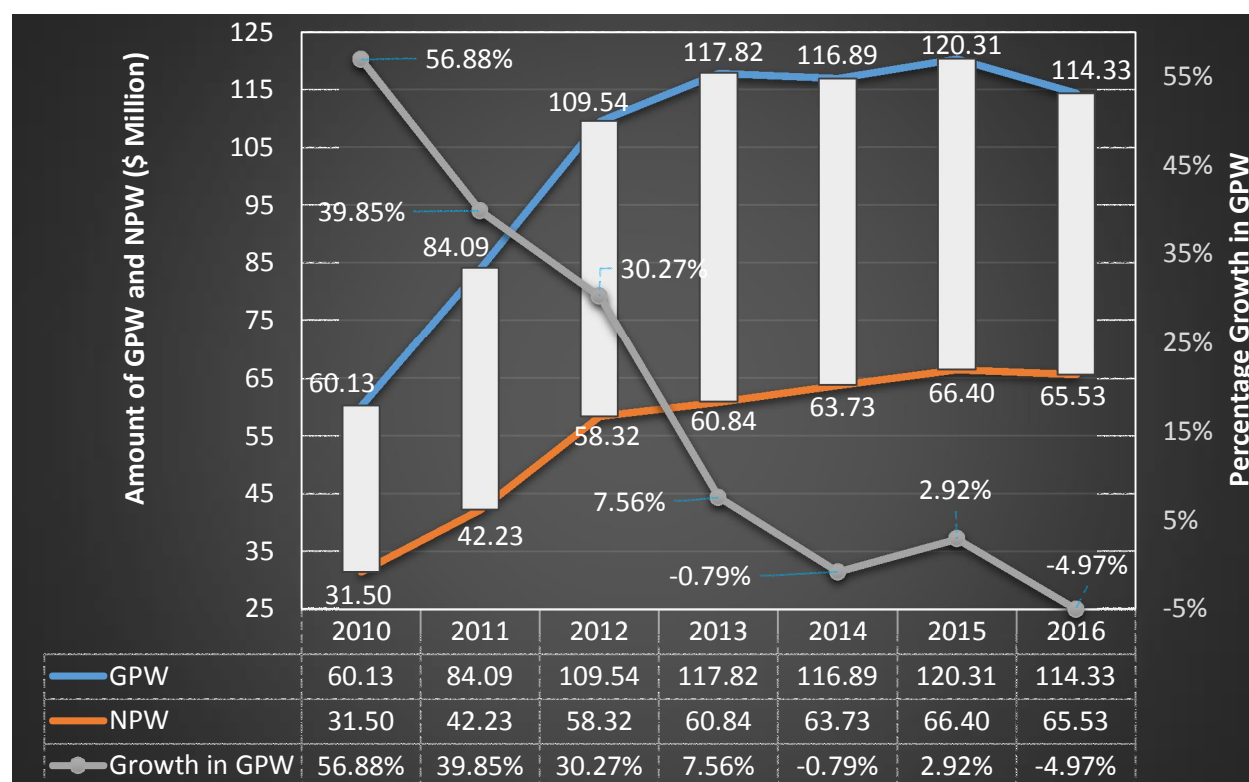
2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

Please note that the analysis of performance of the non-life insurance sector does not include statistics for companies which were under suspension as at the reporting date. Appendix 1A-C has detailed statistics for all the non-life insurers.

2.1. Performance in Terms of Business Written

Owing to the economic challenges currently obtaining in Zimbabwe, the direct non-life insurance industry witnessed a decline in the volume of business generated. This is evidenced by the 4.97% decrease in total Gross Premium Written (GPW) from \$120.31 million for the half year ended 30 June 2015 to \$114.33 million for the half year ended 30 June 2016. The decline in total GPW was mainly driven by a shrinkage in business generated from fire and motor insurance. Figure 1 below shows the trend in volume of business generated by the non-life insurance sector for the half years ended 30 June since 2010.

Figure 1: Trend in Business Written Since 2010



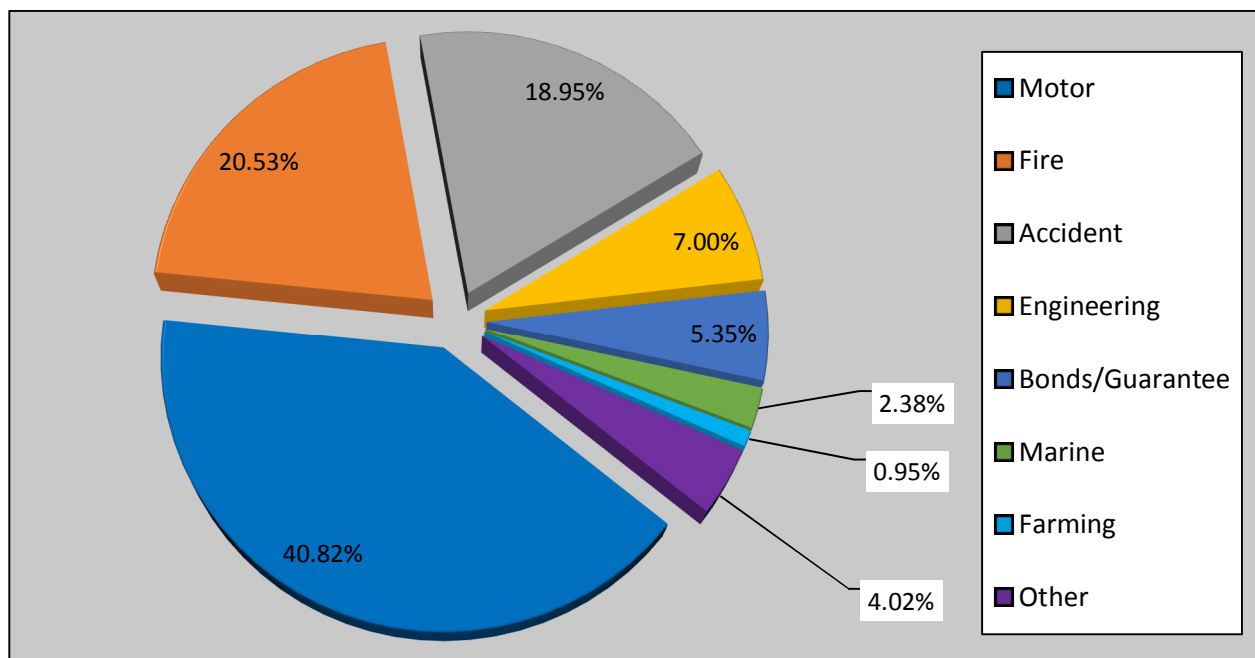
As shown in table 2 below, apart from aviation and farming insurance all the business classes recorded shrinkages in total GPW. However, farming and aviation insurance accounted for a negligible portion of total GPW.

Motor and fire insurance remained the main sources of business for non-life insurance companies accounting for a total of 61.53% of total GPW for the half year ended 30 June 2016. Figure 2 below shows the distribution of total GPW for the half year period under review.

Table 2: Non-life Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 June 2015	30 Jun 2016	
Accident	22,798,195	21,660,637	-4.99%
Aviation	1,546,932	2,568,741	66.05%
Bonds/Guarantee	6,878,025	6,113,334	-11.12%
Engineering	7,918,906	8,002,738	1.06%
Farming	743,896	1,089,634	46.48%
Fire	25,792,413	23,471,407	-9.00%
Hail	106,019	69,582	-34.37%
Health	124,059	21,678	-82.53%
Hire Purchase	1,080,072	699,996	-35.19%
Marine	2,769,847	2,726,443	-1.57%
Motor	48,959,172	46,672,476	-4.67%
Personal Liability	1,588,577	1,232,591	-22.41%
Total	120,306,113	114,329,258	-4.97%

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



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2.2. Capitalization

All the operating non-life insurance companies, except Credit Insurance Zimbabwe and Sanctuary Insurance Company reported capital positions which were above \$1.5 million as at 30 June 2016. On the other hand all non-life insurance companies reported solvency margins which were above the regulatory minimum of 25% with an industry average solvency margin of 74.74% as at 30 June 2016. See Appendix 1C for the solvency margin for each insurer as well as other performance indicators in respect of capital for all insurance companies.

Table 3: Reported Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	30-Sep-15	31 Dec-15	31-Mar-16	30-Jun-16
1. Alliance Insurance Company	4,964,481	5,284,413	5,462,628	5,549,530
2. Allied Insurance Company	1,681,491	1,656,247	1,513,297	1,624,712
3. C.B.Z Insurance Company	3,965,527	4,210,147	4,580,373	4,908,467
4. Cell Insurance Company	1,543,467	1,501,238	1,576,265	1,882,354
5. Champions Insurance Company	2,276,228	2,154,603	2,676,363	2,127,212
6. Clarion Insurance Company	1,556,020	1,682,230	1,780,020	2,091,580
7. Credit Insurance Zimbabwe	2,289,573	2,186,438	1,752,390	1,317,462
8. Eagle Insurance Company	3,297,739	5,799,232	5,875,302	5,810,731
9. Evolution Insurance Company	1,650,819	1,755,713	1,812,156	2,949,868
10. ECGC	2,246,894	2,391,326	2,779,005	2,816,151
11. Hamilton Insurance Company	2,315,205	2,174,021	1,731,100	1,916,211
12. Nicoz Diamond Insurance Company	10,914,000	11,149,430	10,922,150	11,128,780
13. Old Mutual Insurance Company	18,009,265	18,060,853	19,480,169	21,051,511
14. Quality Insurance Company	1,178,000	1,675,000	1,518,000	1,648,000
15. Regal Insurance Company	2,752,143	2,818,931	2,907,921	2,907,922
16. Safel Insurance Company	1,645,492	1,753,874	1,823,493	1,732,115
17. Sanctuary Insurance Company	1,726,699	1,665,088	1,566,526	1,414,063
18. THI Insurance (Pvt) Ltd	1,781,034	1,830,717	2,002,317	1,565,682

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Name of Insurance Company	Reported Capital Position (\$)			
	30-Sep-15	31 Dec-15	31-Mar-16	30-Jun-16
19. Tristar Insurance Company	734,056	2,549,386	2,435,622	2,362,375
20. Zimnat Lion Insurance Company	5,330,414	6,668,371	7,112,916	7,544,167

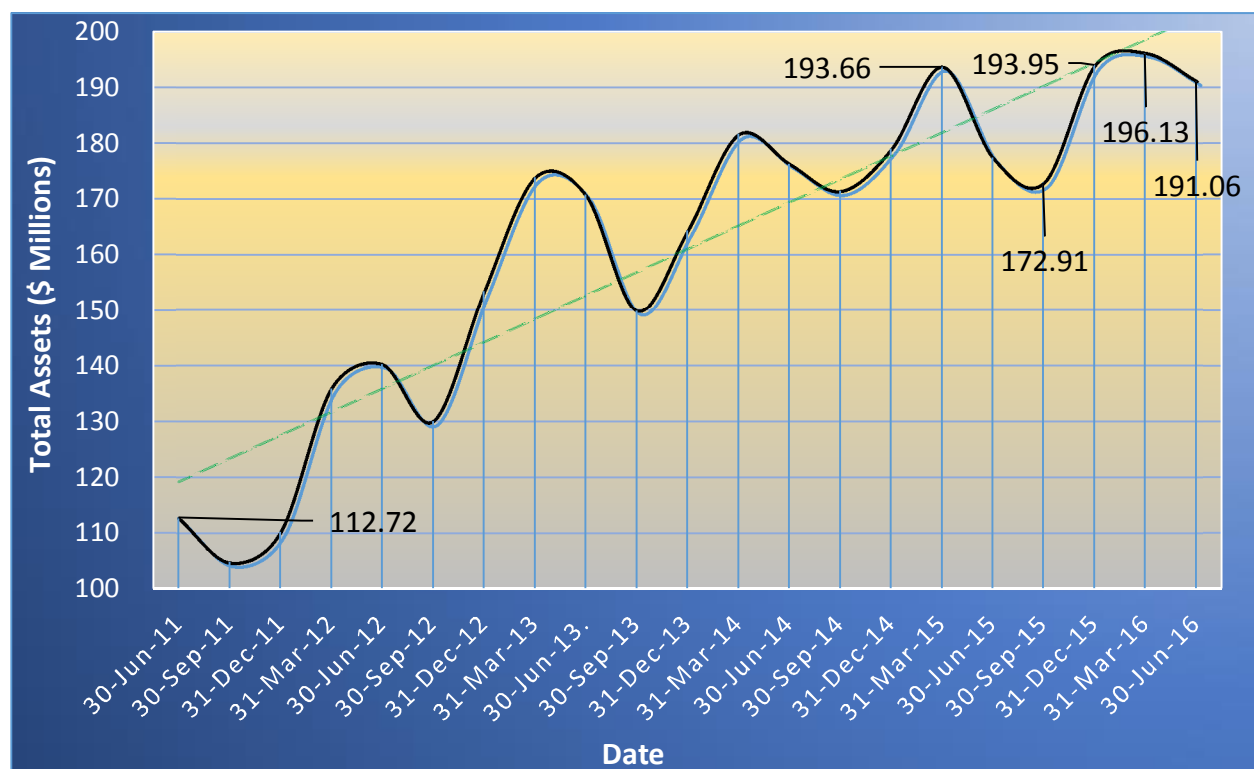
Key:

	The insurer reported a capital position that was above the requirement of \$1.5 million.
	The insurer reported a capital position which was below \$1.5 million.

2.3. Asset Quality

The asset base for non-life insurers decreased from \$196.13 million as at 31 March 2016 to \$191.06 million as at 30 June 2016. The decrease in total assets was mainly driven by a decline in premium debtors from \$46.45 million as at 31 March 2016 to \$42.73 million as at 30 June 2016. This is a normal trend given that when policies move towards their anniversaries more premiums are received while some are written off but some of the premium received is used to meet expenses thereby reducing premiums receivable and total assets in general.

Figure 3: Trend in Total Assets

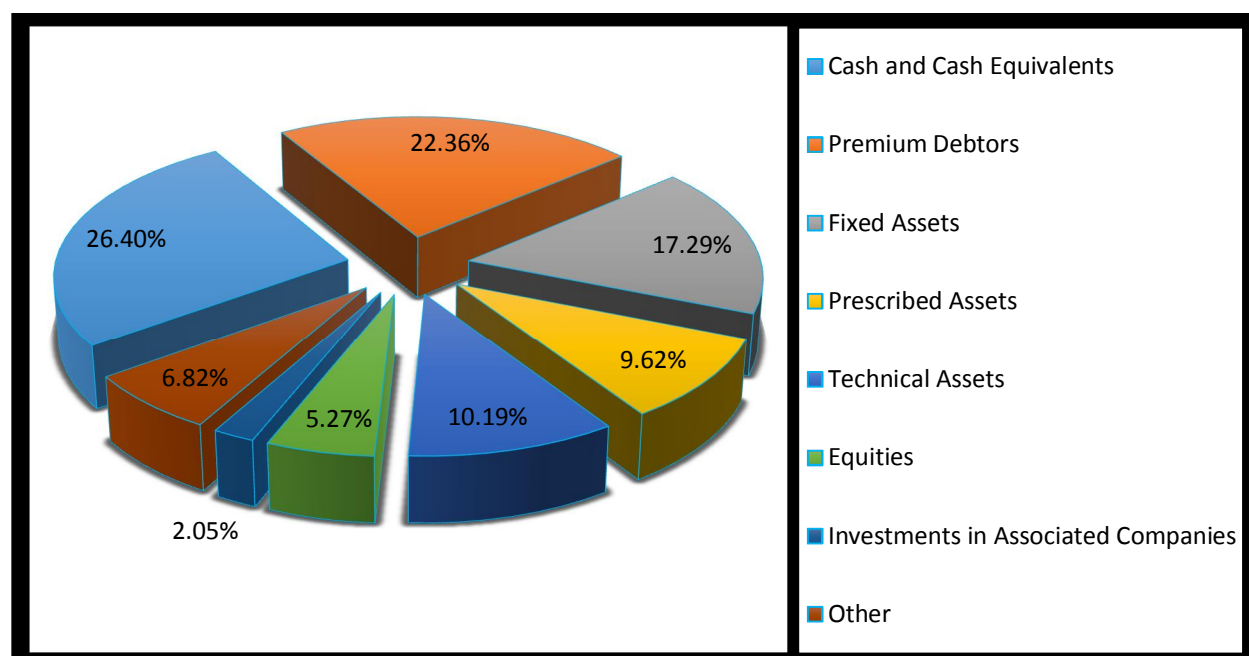


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The asset base for non-life insurers remained skewed towards cash and cash equivalents as well as premium debtors with the two asset classes accounting for 48.76% of total assets as at 30 June 2016. The proportion of assets attributable to all classes of business is as shown in Figure 4 below.

The proportion of total assets attributable to cash and cash equivalents, prescribed assets, technical assets and equities which can easily match non-life insurance liabilities was considered acceptable at a total of 51.48%. However, the Commission urges non-life insurance companies to devise strategies to reduce the proportion of assets tied up in premium debtors as well as fixed assets. This will help to unlock value in terms of investment income as well as liquidity to enable timely settlement of obligations.

Figure 4: Distribution Non-life Insurers' Total Assets



NB: Technical assets refer to reinsurers' share of outstanding claims and deferred acquisition cost.

The non-life insurance industry reported an industry average prescribed assets ratio of 10.80% as at 30 June 2016 reflecting no significant change from 10.96% reported as at 31 March 2016. Although the industry average prescribed assets ratio was compliant with the minimum requirement of 5%, there were ten (10), out of the twenty (20) operating insurers, who were not compliant with the minimum requirement. A total of four (4) of these insurers did not have any investments in prescribed assets.

2.4. Reinsurance

Non-life insurers reported an industry average retention ratio of 57.31% for the half year ended 30 June 2016 reflecting a marginal increase from 55.19% reported for the comparative period in 2015. The marginal increase in the retention ratio indicates that the risk appetite as well as capacity of insurers remained largely unchanged. The retention ratio for individual insurers for the period under review ranged from 11.69% to 100% (See Appendix 1C).

The industry average reinsurance creditors to reinsurance premium ratio decreased from 43.90% for the half year ended 30 June 2015 to 40.78% for the half year period ended 30 June 2016. This indicates a marginal improvement in reinsurance premium remittance by insurers. Notwithstanding the industry average ratio of 40.78% some insurers exhibited high levels of outstanding reinsurance premiums, some dating back to before 31 December 2015, with the reinsurance creditors to reinsurance premium ratios ranging from nil to 8,497.57% for the half year period under review. (See Appendix 1C).

2.5. Actuarial Matters

Total technical liabilities for the non-life insurance sector amounted to \$54.90 million as at 30 June 2016, reflecting a 5.05% decrease from \$57.82 million which was reported as at 31 March 2016. The decrease was mainly attributable to a decrease in Unearned Premium Reserves (UPR) which trend is normal as we move towards the end of an insurance policy term.

The industry average liquid assets to total technical reserves improved from 117.63% as at 31 March 2016 to 125.36% as at 30 June 2016. This indicates that the industry as a whole has the capacity to liquidate all its insurance contract obligations timely if the need arises. However, the Commission noted with concern that some insurers may not have adequate liquid assets to liquidate their insurance contract obligations timely should the need arise. This is shown by their liquid assets to technical reserve ratios which were significantly below 100%. The above mentioned ratio ranged from 8.09% to 9,280.93% for individual insurers. (Appendix 1C shows all the other indicators of the performance of insurance companies in terms of Actuarial matters).

2.6. Earnings

Notwithstanding the decrease in the volume of business written, total profit after tax increased by 31.53% from \$5.23 million for the half year ended 30 June 2015 to \$6.88 million for the half year ended 30 June 2016. The increase in profit after tax was largely driven by reduction in operating expenses coupled with reduced uptake of reinsurance as already alluded to in 2.4 above. The increase in profit after tax translated into improved industry average return on assets (ROA) and return on equity of (ROE) from 3.01% and 6.86% for the half year ended 30 June 2015 to 3.68% and 8.24% for the period under review. (For more indicators of profitability see Appendix 1C)

2.7. Liquidity

Total cash and near cash assets amounted to \$68.82 million as at 30 June 2016, reflecting no significant change from \$68.01 million reported as at 31 March 2016. The overall liquidity position of the insurance sector improved during the quarter under review as reflected by an increase in the acid test ratio from 69.80% as at 31 March 2016 to 76.68% as at 30 June 2016. The acid test ratio indicates the proportion of current liabilities that can be covered by readily available liquid assets. The acid test ratio for individual insurers as at 30 June 2016 ranged from 4.73% to 715.90%. See Appendix 1C for more information on liquidity indicators.

2.8. Market Share for Non-life Insurers

The market for non-life insurance was considered moderately concentrated with Herfindahl Indices of 0.12 and 0.13 in terms of Gross Premium Written (GPW) and Net Premium Written (NPW), respectively for the half year ended 30 June 2016. The market leaders in terms of gross premium written were Old Mutual Insurance Company, Nicos Diamond Insurance Company and Zimnat Insurance Company with a combined market share of 46.24%.

In terms of total assets Old Mutual Insurance Company, Nicos Diamond Insurance Company and Alliance Insurance Company were the market leaders with a combined market share of 47.43%. Figure 5 and 6 below show market shares for insurers.

Figure 5: Market Share for Insurers in Terms of GPW and NPW

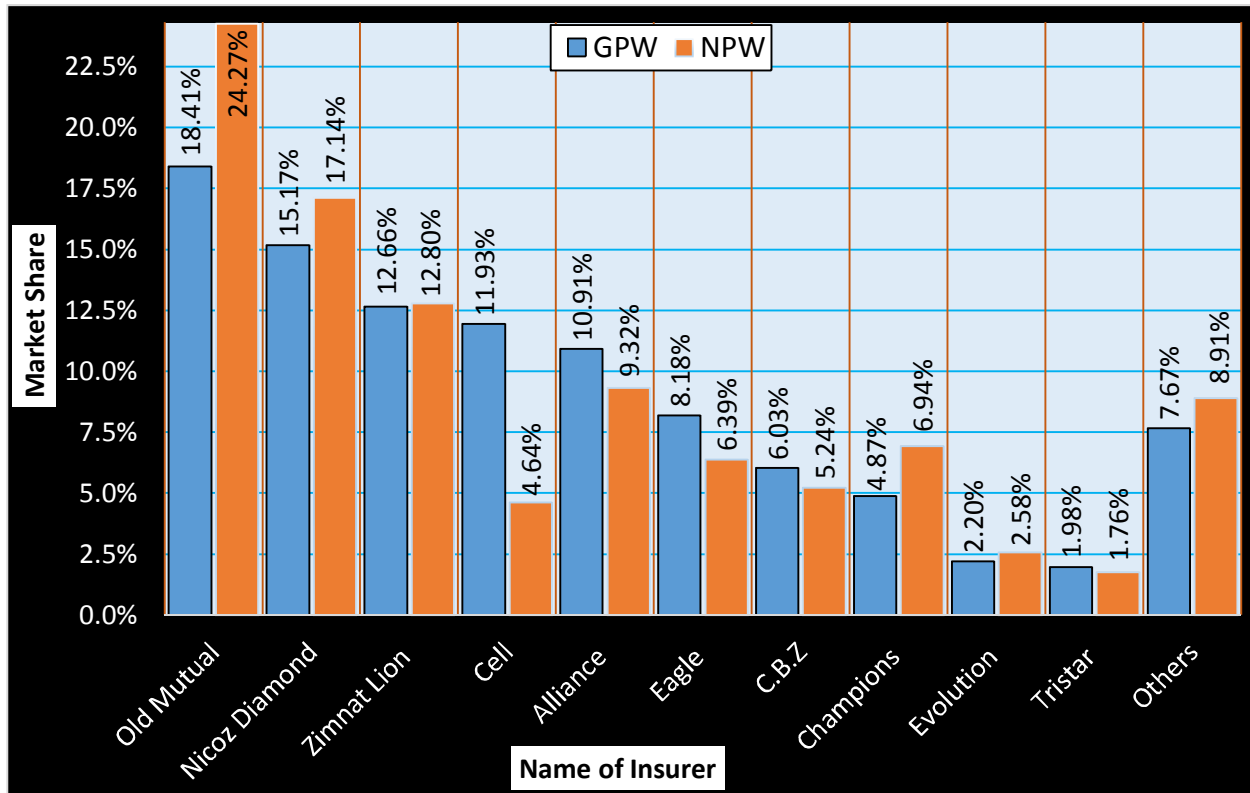
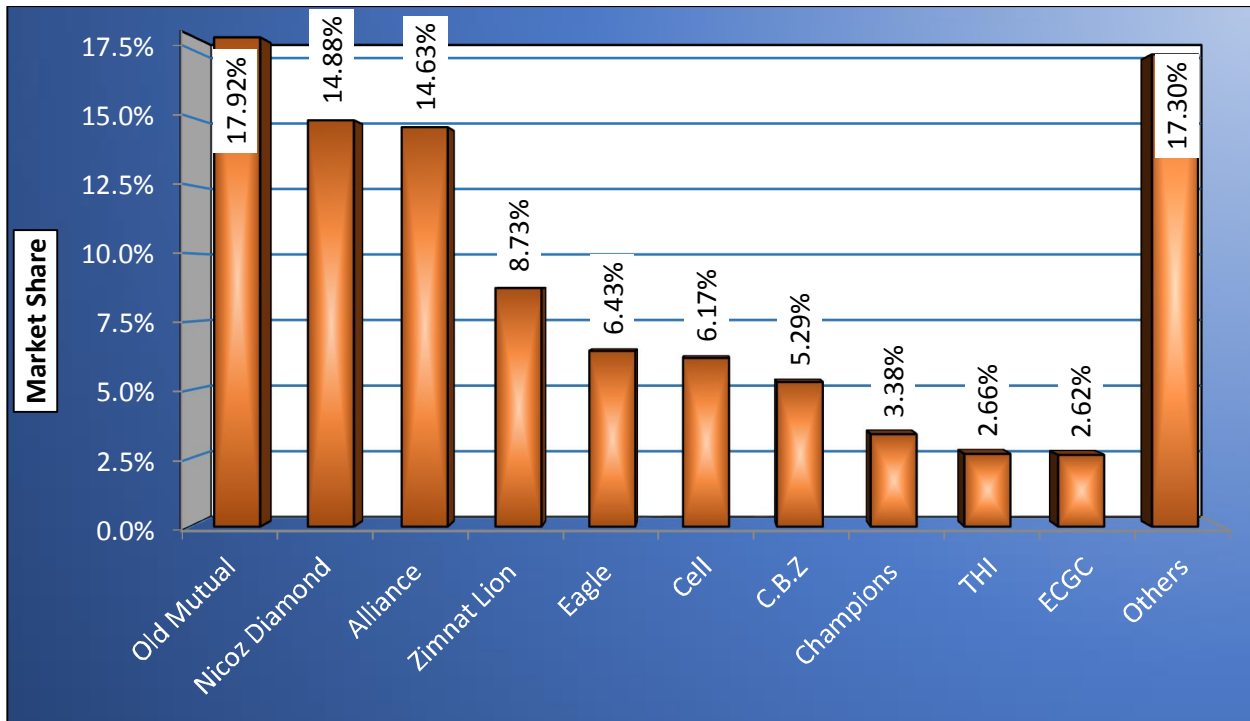


Figure 6: Market Share for Insurers in Terms of Total Assets



SECTION B

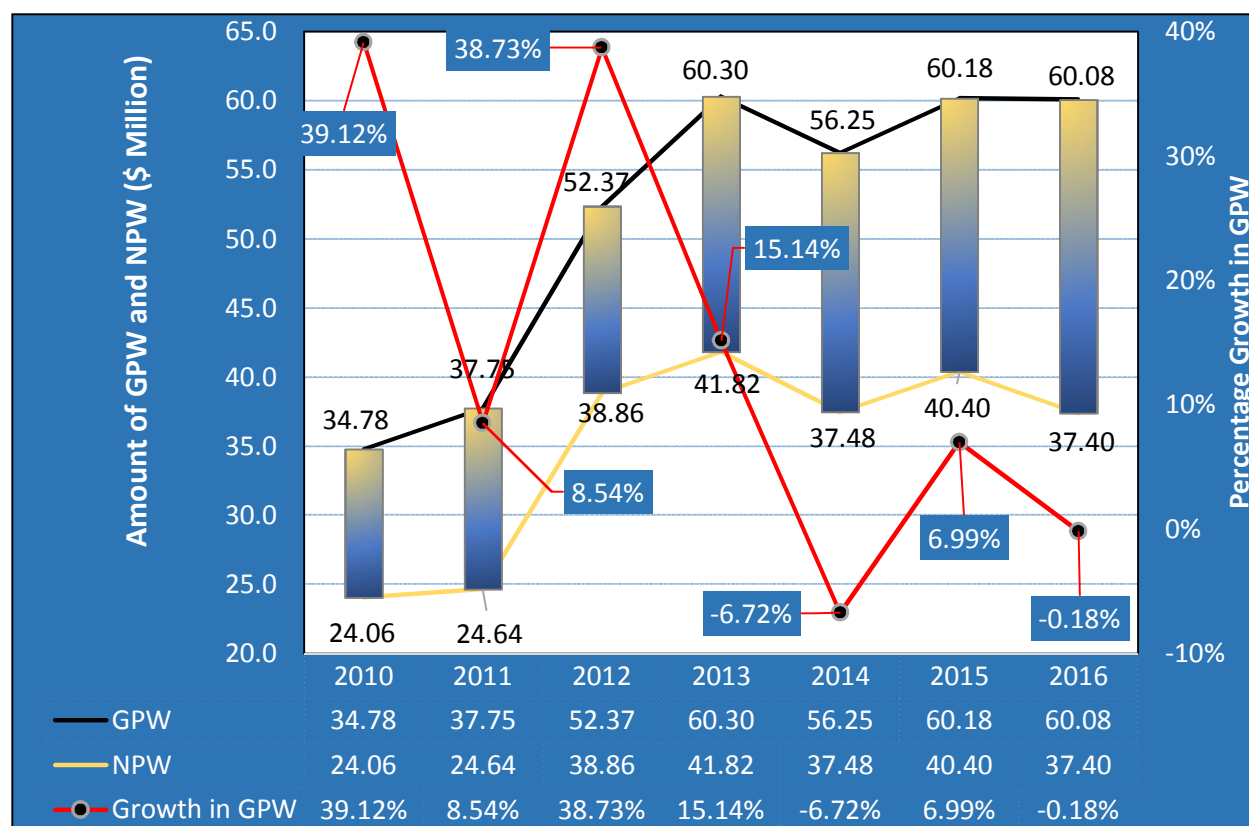
3. REINSURANCE COMPANIES

Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a whole. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa among others. PTA Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member states. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole. Detailed statistics for all reinsurers are shown in Appendix 2A-C.

3.1. Performance in Terms of Business Written

The total gross premium written by non-life reinsurers amounted to \$60.08 million for the half year ended 30 June 2016, reflecting no significant change from \$60.18 million reported for the comparative period in 2015. Out of the business written by non-life reinsurers, total gross premium written amounting to \$7.71 million was generated from outside Zimbabwe during the half year period under review indicating a 40.51% increase from \$5.49 million reported for the half year ended 30 June 2015. Given that the total gross premium written remained largely unchanged it can be concluded that the decrease in business generated by non-life reinsurers from the local market was neutralized by growth in business generated from outside Zimbabwe. Figure 7 below shows the trend in volume of business written for the half years ended 30 June since 2010.

Figure 7: Trend in Business Written Since 2010



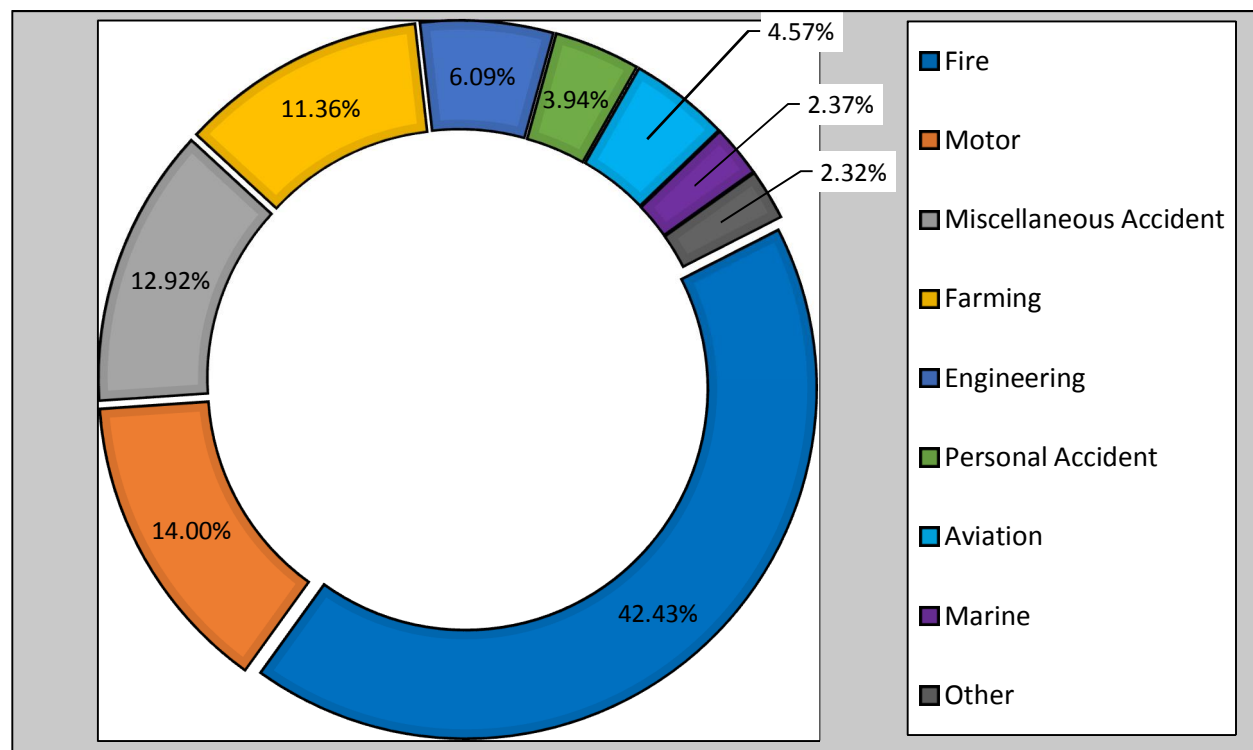
Generally, all business classes except aviation, farming, health and accident insurance reported decreases in business generated as shown in Table 4 below.

Table 4: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 June 2015	30 Jun 2016	
Aviation	420,336	2,748,333	553.84%
Bonds/Guarantee	453,338	331,057	-26.97%
Engineering	4,410,599	3,657,282	-17.08%
Farming	5,953,368	6,823,629	14.62%
Fire	27,362,621	25,489,708	-6.84%
Hail	235,050	208,270	-11.39%
Health	203,627	358,936	76.27%
Hire Purchase	68,338	62,859	-8.02%
Marine	1,559,329	1,421,561	-8.84%
Miscellaneous Accident	5,553,238	7,759,796	39.73%
Motor	8,536,405	8,412,196	-1.46%
Personal Accident	3,552,283	2,368,078	-33.34%
Personal Liability	1,872,946	433,590	-76.85%
Total	60,181,478	60,075,296	-0.18%

The business written by non-life reinsurers remained skewed towards fire, accident and motor insurance. The three business classes accounted for a total of 80.71% of total gross premium written for the half year ended 30 June 2016. Figure 8 below shows the distribution of business generated during the half year period under review across different classes of business.

Figure 8: Distribution of Reinsurers' GPW by Business Class



3.2. Capitalization

All registered non-life reinsurers reported capital positions which were above \$1.5 million as at 30 June 2016. The same reinsurers were also compliant with the minimum solvency margin of 25% as at 30 June 2016. Table 5 below shows the capital positions for all non-life reinsurers.

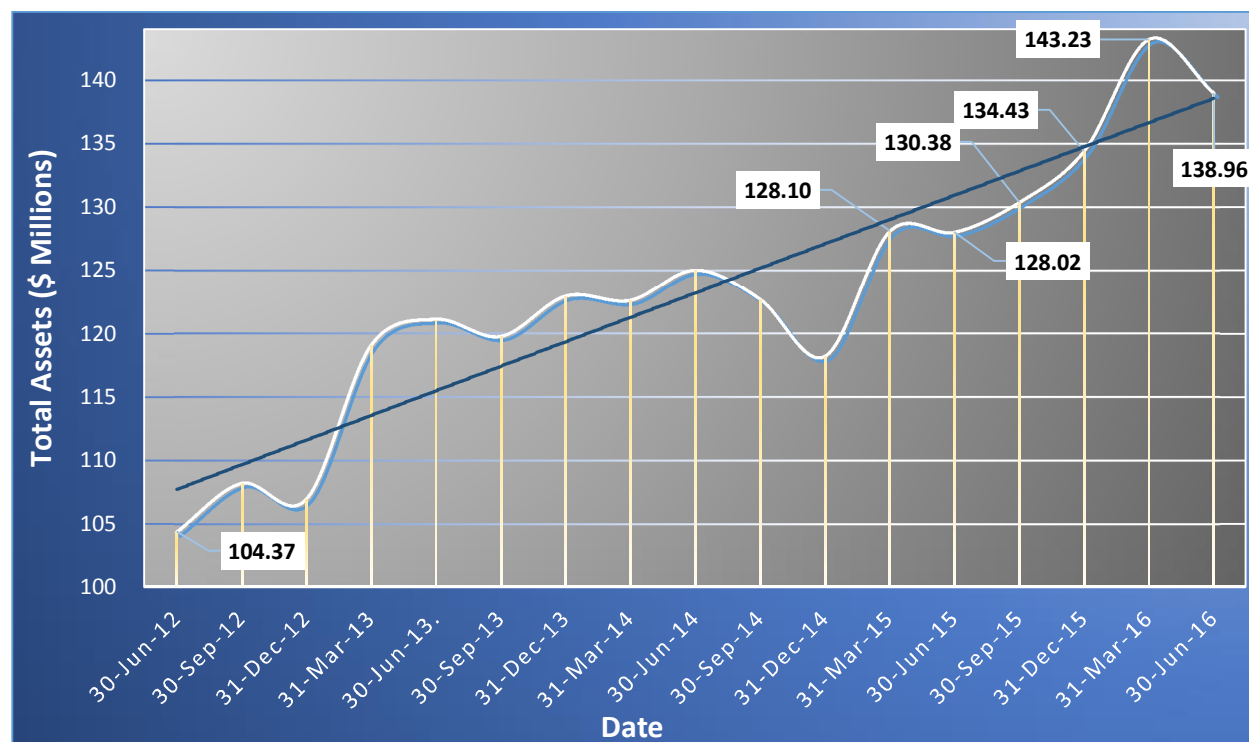
Table 5: Capital Positions for Non-life Reinsurers

Name of Company	Reported Capital Position (\$)			
	30 Sep 15	31 Dec 15	31 Mar 16	30 Jun 16
1. Baobab Reinsurance Company	32,409,344	30,798,757	32,434,261	32,221,052
2. Colonnade Reinsurance Company	2,121,168	1,715,446	1,617,922	1,520,580
3. FBC Reinsurance Company	11,022,630	11,843,893	12,286,986	12,325,991
4. FMRE Property & Casualty	6,142,739	6,902,717	6,454,792	6,986,218
5. Grand Reinsurance Company	10,400,588	13,150,970	13,716,369	5,282,497
6. Tropical Reinsurance Company	4,010,510	3,723,475	4,134,220	4,253,100
7. ZB Reinsurance Company	9,269,310	9,474,645	9,657,160	9,995,310
8. PTA Reinsurance Company (Zep Re)	3,530,448	3,504,129	4,852,037	4,705,323

3.3. Asset Quality

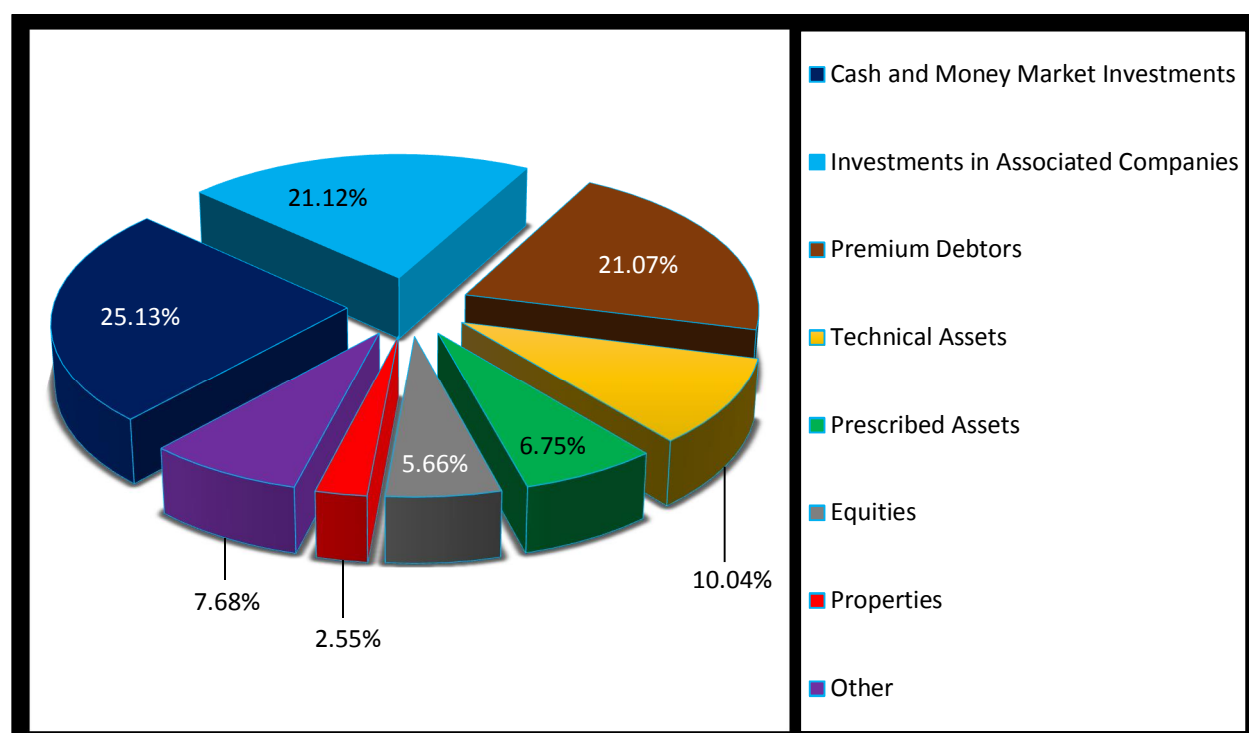
The asset base for non-life reinsurers shrunk from \$143.23 million as at 31 March 2016 to \$138.96 million as at 30 June 2016. The decrease in total assets was mainly attributable to the shrinkage in equities and premium debtors which decreases amounted to \$8.49 million and \$2.04 million respectively. Figure 9 below shows the trend in total assets for the past five years.

Figure 9: Trend in Total Assets



The asset base of non-life reinsurers was skewed towards cash and cash equivalents, investments in associated companies as well as premium debtors which amounted to a total of \$93.55 million and accounted for a total of 67.32% of total assets. Investments in associated companies (21.12%) are generally of a long term nature and their profile may not accurately match that of non-life reinsurers' liabilities which may result in failure to timely meet obligations. On the other hand, premium debtors imply that reinsurers are losing potential investment income that they would have earned if the premiums were received and invested in time. In addition, money tied up in premium debtors is not readily available to support day to day operations. Further, the recoverability of some of the premium debtors may be doubtful especially given the currently prevailing harsh economic environment. Figure 10 below shows breakdown of total assets.

Figure 10: Breakdown of Non-life Reinsurers' Total Assets



Non-life reinsurers reported an industry prescribed assets ratio of 7.72% as at 30 June 2016 which was above the minimum regulatory requirement of 5%. Notwithstanding the foregoing, there were three (3) reinsurers who were not compliant with the minimum prescribed assets ratio. See Appendix 2C for more information on asset quality indicators.

3.4. Retrocession

The industry average retention ratio for non-life reinsurers decreased from 67.12% for the half year ended 30 June 2015 to 62.26% for the half year ended 30 June 2016. The decrease in the industry average retention ratio indicates a decline in the risk appetite for non-life reinsurers. The retention ratios for individual reinsurers for the half year period under review ranged from 53.41% to 83.45%.

The performance of non-life reinsurers in terms of retrocession premium remittances deteriorated during the period under review. This is evidenced by the increase in retrocession creditors to retrocession premiums from 39.39% for the half year ended 30 June 2015 to 47.62% for the half year period under review. The same ratio ranged from nil to 399.19% for the half year period under review. (See Appendix 2C for performance indicators in terms of retrocession).

3.5. Actuarial Matters

Total technical liabilities for non-life reinsurers decreased from \$32.22 million as at 31 March 2016 to \$31.91 million as at 30 June 2016. The decrease in total technical liabilities was largely driven by a decline in unearned premium reserves which is a normal trend as policies move towards their anniversary dates.

The industry average total liquid investments to technical liabilities ratio deteriorated from 142.64% as at 31 March 2016 to 138.86% as at 30 June 2016. The deterioration indicates that the amount of readily liquid assets available to liquidate technical liabilities decreased during the quarter under review although the said assets were still considered adequate. The ratio of liquid assets to technical liabilities for individual reinsurers ranged from 32.82% to 371.53%. See Appendix 2C for key performance indicators.

3.6. Earnings

Total profit after tax for non-life reinsurers increased by 38.85% from \$3.40 million for the half year ended 30 June 2015 to \$4.72 million for the half year ended 30 June 2016. The increase in total profit after tax was mainly attributable to the decrease in operating expenses as well as net incurred claims which amounted to \$1.98 million and \$1.95 million respectively. The industry average return on equity (ROE) and return on assets (ROA) were 5.96% and 3.45% for the half year ended 30 June 2016 reflecting an improvement from 4.45% and 2.65% respectively reported for the comparative period in 2015. The major income driver remained the core business of reinsurers i.e. underwriting, as evidenced by industry average investment income to net premium income which was only 2.33% for the half year period under review. Income derived from core business is sustainable.

The industry average loss ratio improved from 37.63% for the half year ended 30 June 2015 to 35.20% for the period under review. On the other hand the industry average combined ratio improved significantly from 92.73% for the half year period ended 30 June 2015 to 86.90% for the period under review owing to the decrease in net incurred claims and operating expenses already highlighted above.

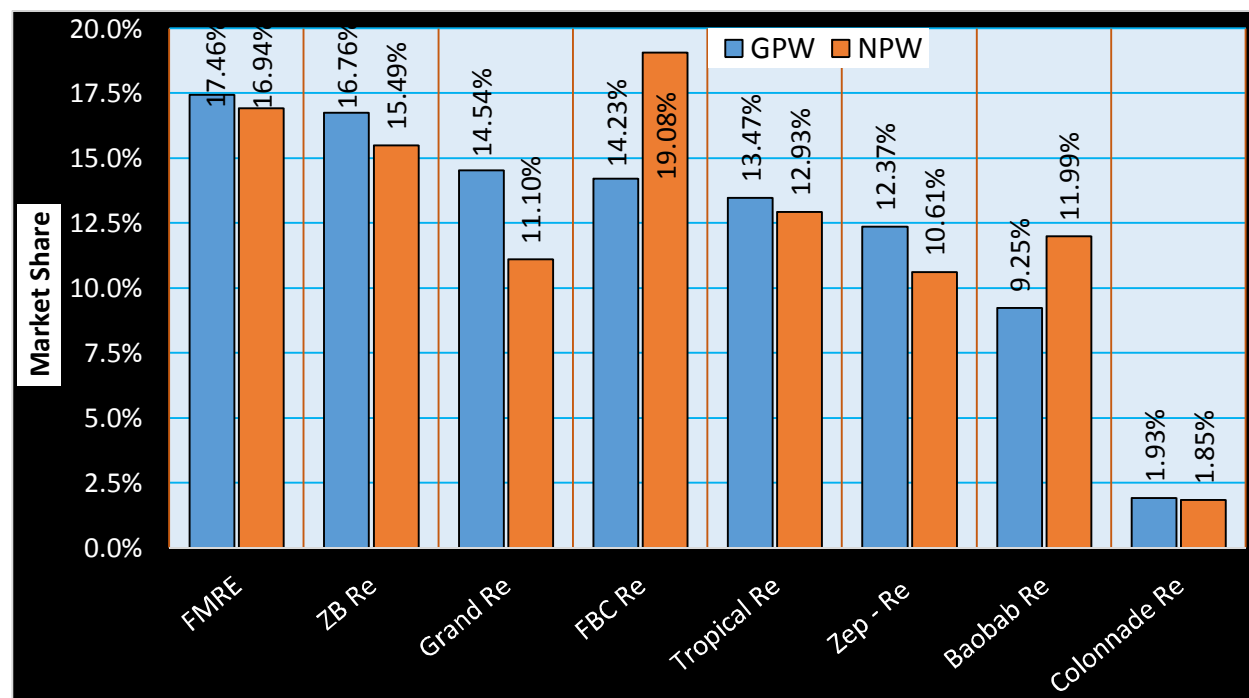
3.7. Liquidity

Non-life reinsurers witnessed a 3.58% decrease in total liquid assets from \$45.96 million as at 31 March 2015 to \$44.31 million as at 30 June 2016. The decrease was mainly owing to a shrinkage in prescribed assets investments which shrinkage amounted to \$1.12 million for the quarter under review. In line with the decrease in total liquid assets, the industry average acid test ratio deteriorated from 94.46% as at 31 March 2016 to 87.30% as at 30 June 2016. The decrease in the industry average acid test ratio implies that the non-life reinsurance industry had less readily liquid assets for every dollar of current liabilities as at 30 June 2016 compared to as at 31 March 2016. The acid test ratio for individual reinsurers ranged from 15.41% to 218.40% as at 30 June 2016. (See also Appendix 2C for more indicators on Liquidity).

3.8. Market Share for Reinsurers

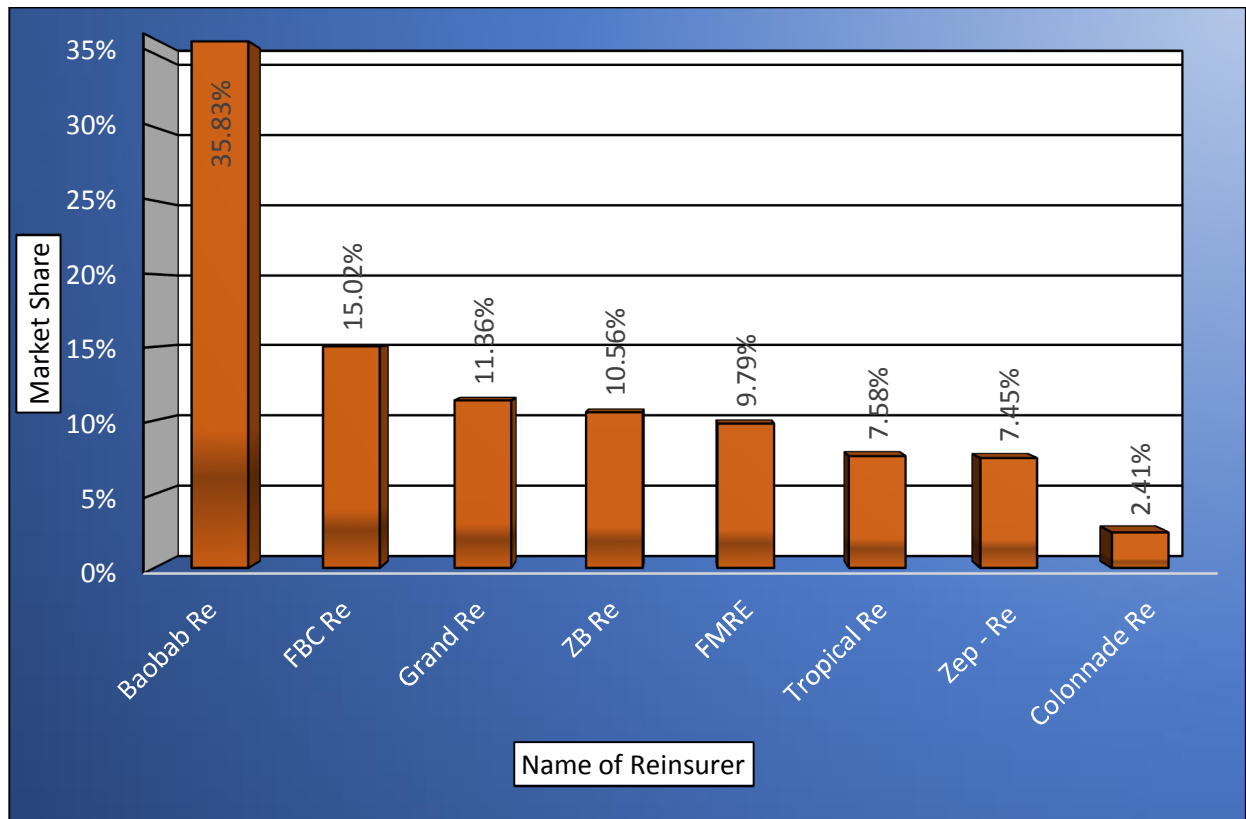
Based on the business generated for the year to 30 June 2016, the non-life reinsurance industry was considered moderately concentrated. This is evidenced by a Herfindahl Index of 0.14 recorded in terms of both gross premium written (GPW) and net premium written (NPW). FMRE, ZB Re, and Grand Re were the market leaders in terms of GPW with a combined market share of 48.76%. Figure 11 below shows the market shares for reinsurers in terms of business written.

Figure 11: Market Share for Reinsurers in Terms of GPW and NPW



On the other hand, Baobab Reinsurance Company, FBC Reinsurance Company, Grand Reinsurance Company remained the market leaders, in terms of total assets with a combined market share of 62.21%. Figure 12 below shows the market share of all reinsurers in terms of total assets.

Figure 12: Market Share for Reinsurers in Terms of Total Assets



SECTION C

4. INSURANCE BROKERS

4.1 Business Written

The premium written by insurance brokers increased marginally from \$49.92 million for the half year ended 30 June 2015 to \$50.13 million for the half year ended 30 June 2016. The total premium written by insurance brokers constituted 43.85% of total gross premium written by non-life insurers. This shows that non-life insurers generated the bulk of their business through agents and clients who deal with them directly.

Insurance brokers generated total commission amounting to \$8.33 million during the half year ended 30 June 2016 indicating a 4.50% decrease from \$8.73 million reported for the comparative period in 2015. The commission translated into an industry average commission rate of 16.62% which compared unfavourably with 17.48% that was reported for the half year ended 30 June 2015. Table 8 below shows the indicators of the business written by the insurance brokers.

Table 6: Indicators of Business Written for Insurance Brokers (\$)

Indicator	30 Jun 2015	30 Jun 2016	Percentage Change
Premium Written	49,922,645	50,134,343	0.42%
Brokerage Commission	8,725,841	8,332,927	-4.50%
Premium Written Less Commission	41,196,804	41,801,416	1.47%
Commission Incurred	339,337	343,098	1.11%
Net Brokerage Commission	8,386,504	7,989,828	-4.73%
Other Income	506,631	619,060	22.19%
Operating Expenses	8,054,067	7,552,769	-6.22%
Profit Before Tax	839,068	1,056,120	25.87%
Taxation	201,441	284,970	41.47%
Profit After Tax	637,626	771,150	20.94%

4.2 Capitalization

All the registered insurance brokers, except Ambassador, Broksure and Rainbow Insurance Brokers reported capital positions which were above \$100,000 as at 30 June 2016. The capital positions for the individual insurance brokers ranged from \$15,752 to \$1.27 million as shown in Table 7 below.

Table 7: Reported Capital Levels for Insurance Brokers

Name Insurance Broker	30-Sep-15	31-Dec-15	31-Mar-16	30-Jun-16
1. Ambassador Insurance Brokers	129,855	127,512	77,379	94,530
2. Amour Khan Insurance Brokers	136,819	151,218	134,419	132,708
3. Auto & General Insurance Brokers	429,467	429,720	426,130	426,125
4. Broksure Insurance Brokers	102,417	103,275	100,485	97,234
5. Capitol Insurance Brokers	627,679	611,521	615,511	608,768
6. Care Insurance Brokers	201,776	215,334	205,808	224,981
7. Coverlink Insurance Brokers	106,489	100,762	105,882	109,479
8. Eaton & Youngs (Private) Limited	554,349	509,962	327,779	557,888
9. Eureka Insurance Brokers	242,405	184,402	126,845	148,246
10. Glenrand MIB Zimbabwe	139,779	198,509	221,046	196,962
11. Goldstick Insurance Brokers	255,034	255,278	241,838	256,286
12. Hostcare Insurance Brokers	146,935	144,533	144,533	150,324
13. HRIB (Private) Limited	350,737	380,743	489,107	542,679
14. Hunt Adams & Associates	241,851	230,476	270,122	258,978
15. Insuraserive (Private) Limited	239,445	175,429	148,933	201,945
16. L. A. Guard Insurance Brokers	229,419	241,454	238,638	202,153
17. Marsh Insurance Brokers	975,518	975,348	1,097,691	1,038,884
18. Minerva Risk Solutions	466,075	1,009,399	1,064,937	1,268,990
19. Momentum Insurance Brokers	453,009	361,852	398,208	410,678
20. Nationwide Insurance Brokers	123,370	128,342	140,752	135,632
21. Paul Mkondo Insurance Brokers	161,661	173,715	169,901	165,625
22. Perpro Insurance Brokers	175,820	174,372	175,190	194,459
23. Progressive Insurance Brokers	750,371	754,183	1,021,396	789,949
24. Rainbow Insurance Brokers	12,770	13,560	14,514	15,752
25. SATIB Insurance Brokers	300,020	260,844	419,386	390,171
26. TIB Insurance Brokers	103,165	101,093	113,569	100,891
27. Victory Insurance Brokers	423,547	349,336	248,370	290,199
28. WFDR Risk Services	407,343	389,258	283,829	295,806
29. Zimbabwe Insurance Brokers	202,858	222,636	178,782	209,330

Key:

	The insurance broker reported a capital position that was above \$100,000.
	The insurance broker reported a capital position that was below \$100,000.

4.3 Asset Quality

Total assets for insurance brokers amounted to \$31.15 million as at 30 June 2016, indicating a 14.79% increase from \$27.14 million as at 31 March 2016. The increase in total assets was largely driven by the growth in commission receivable as well as cash and cash equivalents from \$3.65 million and \$5.63 million as at 31 March 2016 to \$5.72 million and \$6.39 million as at 30 June 2016 respectively. Property as well as cash and cash equivalents remained the largest asset classes accounting for a total of 42.61% of total assets as at 30 June 2016.

4.4 Earnings

Total profit after tax increased by 20.94% from \$637,626 for the half year ended 30 June 2015 to \$771,150 for the half year ended 30 June 2016. The increase in total profit after tax was mainly attributable to a decrease in operating expenses from \$8.05 million for the half year ended 30 June 2015 to \$7.55 million for the period under review. The industry average return on equity (ROE) and return on assets (ROA) improved from 8.03% and 2.33% for the half year ended 30 June 2015 to 8.12% and 2.48% respectively for the year under review.

4.5 Market Share for Insurance Brokers

The insurance brokers sectors remained unconcentrated as evidenced by the Herfindahl index of 0.09 which was recorded in terms of net brokerage commission for the half year period ended 30 June 2016. Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and HRIB remained the market leaders in terms of both business written as well as brokerage income, with combined market shares of 39.57% and 41.56% respectively. Figure 13 below shows the market shares in terms of net brokerage commission and premium written.

On the other hand, Minerva Risk Solutions, Progressive Insurance Brokers and WFDR Risk Services were the market leaders in terms of total assets as shown in Figure 14 below.

Figure 13: Market Share in Terms of Net Brokerage Income and Premium Written

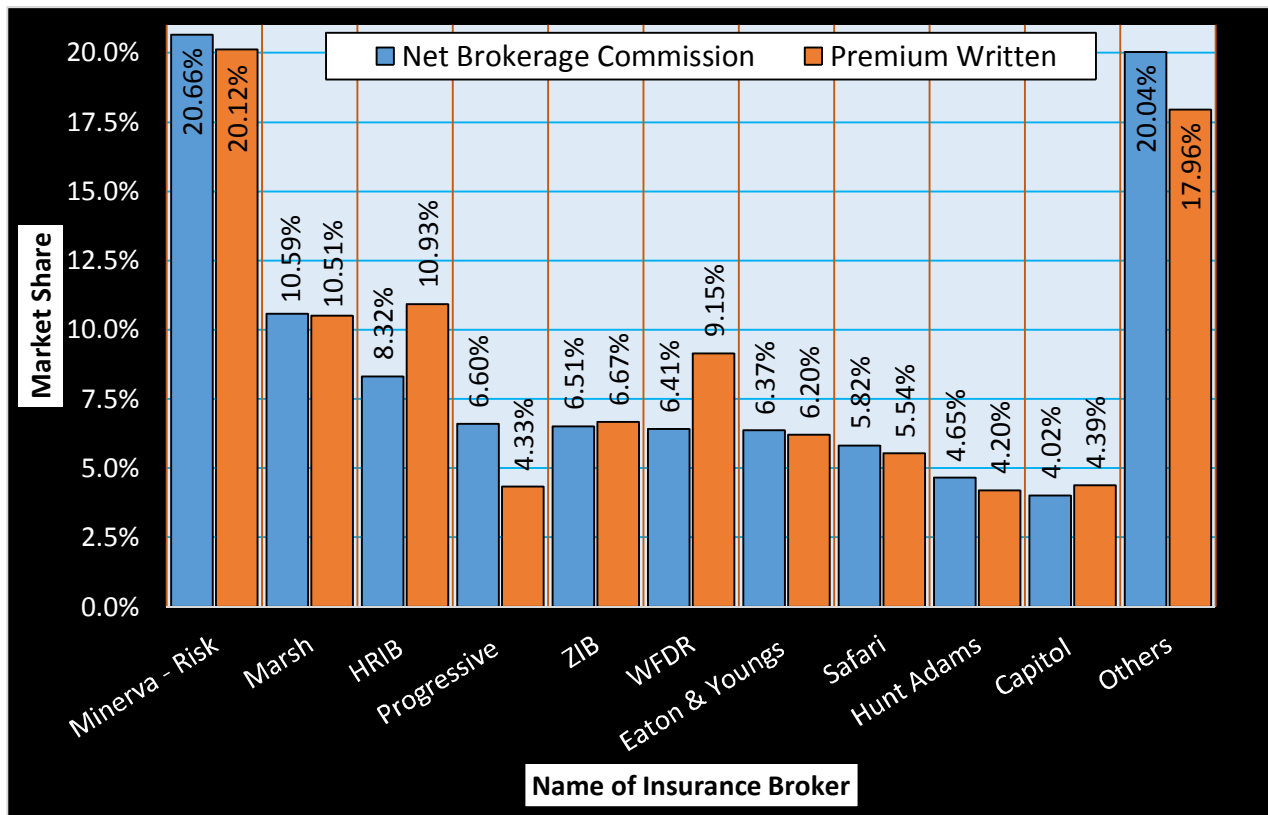
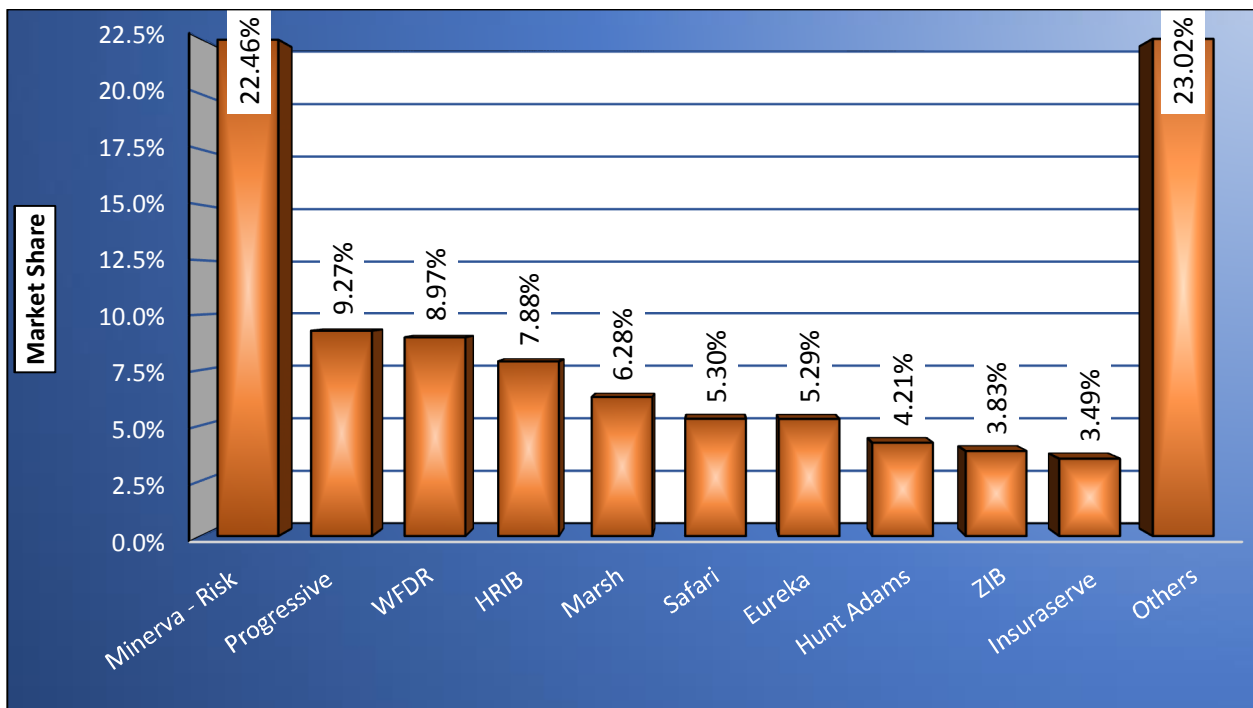


Figure 14: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
5. REINSURANCE BROKERS

5.1 Business Written

Total premium written by reinsurance brokers amounted to \$38.84 million for the half year period ended 30 June 2016 reflecting an 8.41% increase from \$35.83 million reported for the comparative period in 2015. The total premium written by reinsurance brokers constituted 64.65% of total gross premium written by non-life reinsurers indicating that brokers are the major producers for reinsurers. Reinsurance brokers reported an industry average commission ratio of 21.81% for the half year ended 30 June 2016 which shows an improvement from 19.22% reported for the comparative period in 2015. Table 10 below shows the indicators of the business written by the reinsurance brokers.

Table 8: Indicators of Business Written for Reinsurance Brokers (\$)

Indicator	30 Jun 2015	30 Jun 2016	Percentage Change
Premium Written	35,825,182	38,838,113	8.41%
Brokerage Commission	6,884,514	8,470,649	23.04%
Premium Written Less Commission	28,940,668	30,367,464	4.93%
Commission Paid	5,164,879	6,597,192	27.73%
Net Brokerage Commission	1,719,635	1,873,457	8.95%
Other Income	52,645	27,149	-48.43%
Operating Expenses	1,134,071	1,246,159	9.88%
Profit Before Tax	638,209	654,447	2.54%
Taxation	193,322	159,514	-17.49%
Profit After Tax	444,888	494,933	11.25%

5.2 Capitalization

All the registered reinsurance brokers, reported capital positions which were above \$100,000 as at 30 June 2016. Table 9 below shows the capital positions for all the reinsurance brokers.

Table 9: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position (\$)			
	30 Sep 2015	31 Dec 2015	31 Mar 2016	30 Jun 2016
1. Afro-Asian Reinsurance Brokers	139,857	118,087	120,494	108,295
2. Classic Reinsurance Brokers	121,699	122,172	119,182	117,082
3. Marsh Insurance Brokers	11,896	(3,448)	54,539	103,120
4. Minerva Re (Private) Limited	1,753,749	1,745,965	1,922,268	2,125,426
5. Pan African Re	567,131	609,776	616,238	666,575
6. Reinsurance Brokers International	140,829	139,087	154,063	141,694

5.3 Asset Quality

The asset base for reinsurance brokers increased from \$25.98 million as at 31 March 2016 to \$29.90 million as at 30 June 2016. The increase in total assets was mainly attributable to the growth in premium receivables from \$21.43 million as at 31 March 2016 to \$24.52 million as at 30 June 2016. The premium debtors remained the largest asset class for reinsurance brokers accounting for 82.02% of total assets as at 30 June 2016.

5.4 Earnings for Reinsurance Brokers

Reinsurance brokers reported an 11.25% increase in total profit after tax from \$444,888 for the year to 30 June 2015 to \$494,933 for half year ended 30 June 2016. Although the profit after tax increased during the half year period under review, the industry average return on equity (ROE) and return on assets (ROA) deteriorated from 18.13% and 2.89% for the for the six months ended 30 June 2015 to 15.17% and 1.66% respectively for the half year ended 30 June 2016.

5.5 Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained the largest reinsurance broker in terms of business written, commission generated as well as total assets. Table 10 below shows the market shares for all reinsurance brokers as at 30 June 2016.

Table 10: Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written	Net Brokerage Commission	Total Assets
1. Minerva Re (Private) Limited	64.76%	73.23%	88.06%
2. Pan African Reinsurance Brokers	16.89%	14.00%	5.85%
3. Marsh	15.69%	10.36%	3.48%
4. Reinsurance Brokers International	2.03%	1.83%	1.67%
5. Afro-Asian Reinsurance Brokers	0.63%	0.58%	0.55%
6. Classic Reinsurance Brokers*	-	-	0.39%
Total	100%	100%	100%

**The reinsurance broker did not write any business during the period under review.*

SECTION E

6. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000)

	Alliance	Allied	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsure	Eagle	Evolution	ECGC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
				Promoter	Cell Business																	
Gross Premium Written	12,471	783	6,893	12,848	797	5,568	2,137	1,368	9,350	2,517	125	665	17,341	21,044	481	326	193	866	1,823	2,259	14,474	114,329
Reinsurance Premium	6,363	209	3,459	10,605	-	1,019	37	649	5,160	826	68	81	6,113	5,141	113	-	2	158	1,610	1,102	6,090	48,804
Net Premium Written	6,108	574	3,434	2,243	797	4,548	2,100	719	4,190	1,691	57	584	11,228	15,903	368	326	192	707	213	1,156	8,385	65,525
Increase/(Decrease) in UPR	(1,200)	145	728	426	223	16	(130)	67	(66)	333	20	15	1,592	2,151	(41)	13	(33)	91	(1,344)	33	2,321	5,363
Net Earned Premium	7,308	429	2,706	1,817	574	4,532	2,230	652	4,256	1,358	37	570	9,636	13,752	409	313	224	616	1,557	1,123	6,063	60,162
Net Incurred Claims	4,024	179	1,065	1,133	662	1,204	201	448	2,257	530	4	160	4,938	6,065	99	17	11	298	(347)	454	2,533	25,934
Net Commission Incurred	741	33	(3)	(358)	-	495	203	(38)	431	244	(40)	37	983	1,129	57	61	35	(0)	(180)	45	517	4,391
Technical Result	2,543	217	1,643	1,042	(89)	2,834	1,826	242	1,568	584	72	374	3,715	6,559	253	235	179	318	2,084	624	3,013	29,837
Operating Expenses	2,318	213	900	974	230	2,805	930	684	1,321	292	121	298	2,763	3,227	266	141	125	593	1,300	900	2,013	22,414
Underwriting Result	225	3	743	68	(319)	29	896	(442)	247	292	(48)	75	952	3,331	(13)	94	54	(275)	784	(275)	1,000	7,423
Investment Income	193	0	157	28	16	9	3	35	169	1	74	-	232	662	43	0	3	44	15	(57)	145	1,771
Unrealised Gains/(Losses)	-	6	(17)	(5)	(15)	-	-	(7)	-	-	-	-	-	-	(141)	-	-	-	-	116	-	(63)
Other Income/(Expenses)	291	64	108	269	(19)	246	-	-	2	7	-	-	(207)	(214)	-	-	-	35	75	29	44	730
Profit/(Loss) Before Tax	709	74	990	361	(337)	284	900	(414)	417	301	25	75	977	3,779	(111)	95	57	(196)	874	(187)	1,189	9,861
Taxation	183	19	276	93	-	74	232	(107)	108	0	-	-	558	1,002	(7)	6	15	-	240	-	292	2,984
Profit/(Loss) After Tax	526	55	715	268	(337)	210	668	(308)	309	301	25	75	419	2,777	(104)	89	42	(196)	634	(187)	897	6,878
Dividends	268	-	-	-	-	-	-	-	273	-	-	-	-	-	-	-	-	-	-	-	52	593
Retained Income	258	55	715	268	(337)	210	668	(308)	37	301	25	75	419	2,777	(104)	89	42	(196)	634	(187)	844	6,285

Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total
Gross Written Premiums	5,554	1,162	8,550	10,486	8,734	8,092	10,066	7,431	60,075
Reinsurance Premiums	1,068	469	1,415	4,151	4,581	3,255	4,271	3,462	22,672
Net Written Premiums	4,486	693	7,135	6,335	4,153	4,838	5,795	3,969	37,403
Increase/(Decrease) in UPR	585	(56)	400	578	1,077	(145)	602	(121)	2,920
Net Earned Premiums	3,901	749	6,736	5,757	3,076	4,982	5,193	4,090	34,483
Net Incurred Claims	844	200	2,517	2,489	654	2,162	1,734	1,540	12,139
Net Commission Incurred	1,164	107	2,329	1,703	763	1,427	1,615	1,253	10,362
Technical Result	1,894	441	1,889	1,565	1,660	1,393	1,844	1,297	11,982
Operating Expenses	1,286	455	1,096	1,400	823	869	1,244	293	7,464
Underwriting Result	608	(14)	794	165	837	524	599	1,004	4,517
Investment									
Investment Income	453	8	374	164	83	112	313	197	1,705
Unrealised Gains/Losses	(564)	-	(85)	(160)	-	(11)	(15)	-	(833)
Other Income	-	2	36	(9)	-	62	-	-	92
Profit Before Tax	498	(3)	1,120	161	919	688	897	1,201	5,481
Taxation	-	-	288	50	-	177	248	-	763
Profit After Tax	498	(3)	831	111	919	511	650	1,201	4,718
Dividends	-	-	336	150	-	72	-	-	558
Retained Income	498	(3)	495	(39)	919	439	650	1,201	4,160

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000

	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	264	741	269	67	190	1,129	521	358	3,539
Investments	4,441	36	789	1,309	240	11	1,040	-	7,867
Investments in Associated Companies	28,079	-	491	-	-	773	-	-	29,343
Other Non-Current Assets	1,660	-	1,538	-	96	132	-	-	3,426
	34,444	778	3,087	1,376	526	2,044	1,561	358	44,174
Technical Assets									
Reinsurers' Share of O/S Claims	1,060	181	1,533	430	4,044	1,594	-	-	8,843
Deferred Acquisition Cost (DAC)	1,014	(8)	918	921	1,358	239	-	660	5,102
	2,074	173	2,452	1,351	5,403	1,834	-	660	13,945
Current Assets									
Cash & cash equivalents	5,435	50	9,655	3,946	4,255	457	9,203	32	33,034
Money Market Investments	19	203	-	-	-	1,670	-	-	1,892
Current Prescribed Assets	350	-	1,233	744	46	712	1,000	5,301	9,386
Premium Receivables	2,895	1,681	4,199	5,596	5,518	3,720	2,567	3,105	29,281
Inventory and Other Debtors	4,569	459	251	591	41	101	335	896	7,245
	13,269	2,393	15,339	10,876	9,860	6,660	13,106	9,334	80,837
TOTAL ASSETS	49,786	3,343	20,877	13,604	15,789	10,538	14,667	10,351	138,956
Liabilities									
Deferred Tax Liabilities	-	4	(347)	223	212	-	285	-	377
Long term loan	2,064	-	-	-	-	-	-	-	2,064
Current Tax provisions	-	-	147	-	-	44	-	-	191
Gross Outstanding Claims	3,911	546	2,483	517	4,471	2,180	59	2,236	16,403
IBNR	377	58	1,504	1,256	231	1,576	830	1,335	7,166
UPR	2,704	348	3,187	3,228	2,591	1,195	1,857	2,076	17,186
Retrocession Creditors	4,265	-	1,235	973	2,696	1,124	503	-	10,797
Other Creditors	4,244	866	343	421	305	165	1,138	-	7,482
Total Liabilities	17,565	1,822	8,551	6,618	10,506	6,285	4,672	5,646	61,666
SHAREHOLDERS' EQUITY									
Share Capital	568	9	800	1	500	0	5	-	1,883
Share Premium	32,258	1,047	4,803	3,934	2,400	410	2,495	-	47,347
Revaluation & Other Reserves	9,325	26	70	-	15	-	11	-	9,446
Retained Profit	(9,930)	438	6,653	3,052	2,368	3,843	7,485	4,705	18,614
Shareholders's Equity	32,221	1,521	12,326	6,986	5,282	4,253	9,995	4,705	77,290
TOTAL EQUITY & LIABILITIES	49,786	3,343	20,877	13,604	15,789	10,538	14,667	10,351	138,956

Appendix 2C: Key Performance Indicators for Reinsurers

	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total/Average
Key Performance Indicator									
Capital Adequacy									
Capital Position (\$ 000)	32,221	1,521	12,326	6,986	5,282	4,253	9,995	4,705	9,661
Capital Maintenance Ratio (CMR)	1821.31%	101.37%	364.68%	202.16%	352.17%	171.53%	278.33%	222.22%	412.39%
Equity/Total Assets Ratio	64.72%	45.49%	59.04%	51.35%	33.46%	40.36%	68.15%	45.46%	55.62%
Solvency Margin	455.33%	82.11%	91.17%	50.54%	88.88%	42.88%	69.58%	55.55%	103.10%
Asset Quality									
Total Assets (\$ 000)	49,786	3,343	20,877	13,604	15,789	10,538	14,667	10,351	138,956
Investments to Assets	20.58%	8.66%	55.93%	44.10%	28.76%	27.05%	76.66%	51.52%	58.67%
Non-Profitable Assets/Total Assets	19.69%	91.34%	34.35%	55.90%	70.63%	64.37%	23.34%	48.48%	38.87%
Fixed Assets/Total Assets	0.53%	22.17%	1.29%	0.49%	1.20%	10.71%	3.55%	3.46%	2.55%
Prescribed Assets Ratio	0.76%	0.00%	6.69%	6.07%	0.45%	8.31%	6.82%	54.70%	7.72%
Premium Debtors/Gross Premium	52.13%	144.68%	49.11%	53.36%	63.18%	45.97%	25.50%	41.78%	48.74%
Premium Debtors/Total Assets	5.82%	50.27%	20.11%	41.13%	34.95%	35.30%	17.50%	29.99%	21.07%
Retrocession									
Risk Retention Ratio	80.76%	59.62%	83.45%	60.41%	47.55%	59.78%	57.57%	53.41%	62.26%
Retrocession Creditors/Retrocession Premium	399.19%	0.00%	87.28%	23.45%	58.86%	34.55%	11.77%	0.00%	47.62%
Retrocessionaires' Share of O/S Claims to O/S Claims	27.10%	33.17%	61.76%	83.22%	90.45%	73.13%	0.00%	0.00%	53.91%
Actuarial									
UPR	2,704	348	3,187	3,228	2,591	1,195	1,857	2,076	17,186
IBNR	377	58	1,504	1,256	231	1,576	830	1,335	7,166
Net Outstanding Claims	2,851	365	949	87	427	586	59	2,236	7,560
Liquid Assets/Total Reserves	97.84%	32.82%	193.04%	102.60%	132.38%	84.57%	371.53%	94.46%	138.86%
Liquid Assets/(Outstanding Claims+IBNR)	179.81%	59.82%	443.83%	349.20%	654.14%	131.32%	1147.85%	149.38%	300.91%
Total Assets/Total Reserves	839.27%	433.76%	370.14%	297.65%	485.98%	313.90%	534.08%	183.34%	435.44%
Earnings									
Profit After Tax (000)	498	(3)	831	111	919	511	650	1,201	4,718
Return on Equity	1.58%	-0.22%	6.88%	1.60%	9.98%	12.81%	6.68%	29.27%	5.96%
Return on Assets	1.03%	-0.10%	4.18%	0.84%	5.31%	5.10%	4.47%	12.46%	3.45%
Loss Ratio	21.63%	26.77%	37.37%	43.23%	21.25%	43.40%	33.39%	37.65%	35.20%
Net Commission Ratio	29.83%	14.28%	34.58%	29.58%	24.81%	28.65%	31.10%	30.65%	30.05%
Net Expense Ratio	32.96%	60.76%	16.27%	24.31%	26.75%	17.43%	23.96%	7.15%	21.65%
Combined Ratio	84.42%	101.81%	88.22%	97.13%	72.80%	89.48%	88.46%	75.45%	86.90%
Investment Income/NPW Ratio	-2.46%	1.17%	4.06%	0.07%	1.99%	2.10%	5.14%	4.97%	2.33%
Investment Income/Total Financial Assets	-1.08%	2.81%	2.48%	0.08%	1.82%	3.57%	2.65%	3.70%	1.67%
Liquidity									
Working Capital	4,086	1,609	9,582	6,031	5,061	2,374	9,572	4,348	42,662
Current ratio	106.24%	156.32%	253.51%	197.61%	236.18%	181.08%	280.53%	177.00%	186.73%
Acid Test ratio	40.19%	15.41%	155.15%	75.79%	66.55%	60.53%	218.40%	94.46%	87.30%
Market Share of Total Liquid Assets	13.10%	0.57%	24.57%	10.58%	9.71%	6.41%	23.03%	12.04%	100%
Market Shares									
Market Share Based on GPW	9.25%	1.93%	14.23%	17.46%	14.54%	13.47%	16.76%	12.37%	100%
Market Share Based on NPW	11.99%	1.85%	19.08%	16.94%	11.10%	12.93%	15.49%	10.61%	100%
Market Share Based on Total Assets	35.83%	2.41%	15.02%	9.79%	11.36%	7.58%	10.56%	7.45%	100%

Appendix 3A: Statement of Comprehensive Income for Brokers US\$'000

	Ambassador	Armour	Auto &	Broksure	Capitol	Care	Coverlink	Eaton &	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt	Insuraserve	L.A.	Marsh	Minerva - Risk	Momentum	Nationwide	Paul	Perpro	Progressive	Rainbow	SATIB	TIB	WFDR	Victory	ZIB	Total
		Khan	General					Youngs						Adams		Guard		Solutions			Mkondo									
Premium Written	56	475	71	142	2,201	773	9	3,109	1,216	1,271	447	17	5,479	2,107	1,185	428	5,269	10,087	1,587	222	20	239	2,172	47	2,776	405	4,589	393	3,344	50,134
Premium Payable	45	391	63	117	1,879	642	8	2,595	964	1,031	376	13	4,563	1,721	1,019	351	4,421	8,436	1,279	172	16	209	1,632	40	2,311	322	4,050	314	2,824	41,801
Brokerage Commission	11	84	8	25	321	131	1	514	252	240	71	4	916	386	166	76	848	1,651	308	50	4	30	539	7	465	83	539	79	520	8,333
less Commission paid	0	0	2	0	0	0	0	5	0	0	20	0	251	14	0	0	2	0	0	0	1	8	12	0	0	0	28	0	0	343
Net Brokerage Commission	11	84	7	25	321	131	1	509	252	240	51	4	665	372	166	76	846	1,651	308	50	3	22	527	7	465	83	512	79	520	7,990
Other Income	3	0	25	0	60	0	0	39	23	2	0	7	1	1	37	7	7	22	40	0	29	120	0	0	7	4	41	95	50	619
Admin Expenses	12	81	31	28	379	118	18	448	345	265	40	10	477	402	150	89	736	1,253	279	43	35	122	510	7	376	86	528	159	528	7,553
Profit Before Tax	3	3	1	(3)	2	14	(17)	100	(70)	(23)	11	0	189	(29)	53	(5)	117	420	69	7	(3)	21	17	1	96	1	25	15	42	1,056
Taxation	0	2	0	0	0	0	0	28	0	0	0	0	49	0	14	0	30	108	21	0	0	1	0	0	15	0	1	4	12	285
Profit after Tax	2	1	0	(3)	2	14	(17)	72	(70)	(23)	11	0	140	(29)	39	(5)	87	312	48	7	(3)	20	17	1	81	1	24	10	30	771

APPENDIX 38: STATEMENT OF FINANCIAL POSITION-US\$ ('000)																														
	Ambassador	Armour	Auto &	Broksure	Capitol	Care	Coverlink	Eaton &	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt	Insuraverse	L.A Guard	Marsh	Minerva - Risk	Momentum	Nationwide	Paul	Perpro	Progressive	Rainbow	SATIB	TIB	WFDR	Victory	ZIB	Total
	Khan	General						Youngs						Adams				Solutions			Mkondo									
Shareholder's Equity																														
Share Capital	74	32	310	20	116	77	28	100	50	50	0	5	0	1	0	100	5	0	100	102	20	40	120	15	2	50	2	200	50	1,670
Share Premium	15	-	84	68	-	37	-	-	-	12	-	-	1	275	-	-	-	-	319	-	126	-	-	-	136	-	803	56	-	1,932
Non-Distributable Reserves	-	100	31	12	121	75	98	82	14	5	244	148	67	262	202	103	412	2,116	(8)	-	23	20	100	-	-	-	24	-	17	4,269
Retained Income	5	1	0	(3)	372	36	(17)	376	84	130	13	(3)	475	(279)	-	(1)	622	(847)	-	34	(3)	134	570	1	252	51	(532)	34	142	1,645
shareholder's Equity	95	133	426	97	609	225	109	558	148	197	256	150	543	259	202	202	1,039	1,269	411	136	166	194	790	16	390	101	296	290	209	9,516
Current liabilities																														
Payable Premiums	45	391	-	101	212	-	1	18	445	120	65	-	1,432	563	665	40	315	4,333	533	-	22	-	1,205	1	937	259	2,351	29	414	14,494
Other Liabilities	22	-	1	-	11	11	-	-	-	20	27	-	-	-	-	-	358	1,016	3	-	17	-	-	-	321	-	149	-	571	2,528
Brokers comission payable	-	-	-	-	-	-	-	-	-	-	-	8	91	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	99
Provisions	-	-	-	-	67	-	-	-	-	11	-	-	-	-	-	-	-	44	-	-	-	-	-	-	-	-	-	-	-	122
Sundry creditors	-	-	-	-	-	1	-	-	-	30	-	-	45	400	14	-	-	-	-	-	-	-	-	-	-	-	-	-	-	490
Taxation	0	-	-	-	-	4	-	-	17	-	-	-	42	-	-	-	226	-	-	-	-	-	-	-	-	-	-	-	-	290
Other	-	-	-	-	12	-	2	-	1,038	36	-	-	47	-	-	13	-	336	-	-	10	2	412	-	64	-	-	-	-	1,971
Total Current Liabilities	67	391	1	101	302	16	3	18	1,499	216	92	8	1,657	963	679	54	899	5,729	536	-	49	2	1,617	1	1,259	323		29	984	19,994
TOTAL LIABILITIES & EQUITY	162	524	427	198	928	248	131	585	1,647	413	348	163	2,456	1,312	1,088	256	1,955	6,998	1,057	136	215	205	2,888	430	1,650	423	2,796	319	1,194	31,153
Non - Current Assets																														
Property and Equipment	-	70	55	-	5	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	3	-	-	12	-	144
Land & Buildings	79	150	140	-	404	132	85	328	50	-	330	153	440	-	250	157	150	-	-	-	93	-	180	400	118	-	-	11	264	3,914
Furniture and Fittings	6	30	35	14	17	12	8	6	8	-	7	3	12	3	28	5	35	873	8	3	21	20	16	4	14	11	18	6	11	1,237
Motor Vehicles	22	20	80	20	9	-	27	-	22	18	6	-	206	57	34	21	5	138	59	49	9	55	14	15	-	14	53	29	11	994
Computer Equipment	6	10	10	15	1	3	5	-	9	-	3	1	36	2	9	2	18	87	0	3	3	6	12	4	9	5	9	8	38	315
Computer Software	-	5	2	0	-	2	-	-	-	-	-	-	46	-	-	-	0	-	-	-	-	-	1	-	-	3	-	6	-	65
Investments	-	10	33	27	40	28	-	11	14	-	-	-	-	-	7	1	-	-	254	-	33	-	21	-	-	-	-	107	40	625
Other	-	-	-	-	-	0	-	-	62	3	-	-	-	1	-	-	-	-	-	-	-	4	12	-	38	-	-	100	-	219
Total Non - Current Assets	113	295	355	77	475	178	124	345	165	22	346	157	740	64	327	185	208	1,099	322	55	158	85	257	423	182	32	80	279	365	7,513
Current Assets																														
Commission Receivable	-	84	6	-	-	59	-	-	-	-	-	2	1,489	-	-	-	159	-	-	-	-	-	1,462	3	-	11	1,929	15	497	5,715
Premium Receivables	-	-	-	-	-	-	-	-	15	144	-	3	-	-	-	-	374	3,587	-	-	-	-	-	-	531	-	154	-	-	4,808
Accured Investment Income	-	5	19	-	-	-	-	-	101	120	-	-	30	22	-	0	-	-	271	-	-	-	-	-	-	-	-	1	-	569
Other Debtors & Inventory	15	139	13	98	97	-	-	171	363	34	-	-	31	899	632	50	358	682	336	-	54	10	1,124	-	832	161	23	16	23	6,161
Cash & Cash Equivalents	34	-	35	22	355	10	7	69	1,004	94	3	1	166	328	128	20	857	1,630	128	81	3	110	46	4	105	219	609	8	309	6,387
Total Current Assets	48	228	72	120	452	70	7	240	1,483	392	3	6	1,716	1,248	761	70	1,747	5,899	736	81	57	120	2,632	7	1,467	391	2,716	40	830	23,640
TOTAL ASSETS	162	524	427	198	928	248	131	585	1,647	413	348	163	2,456	1,312	1,088	256	1,955	6,998	1,057	136	215	205	2,888	430	1,650	423	2,796	319	1,194	31,153

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Afro-Asian	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Premium Written	245,189	-	6,093,364	25,152,114	6,560,453	786,993	38,838,113
Premium due to Reinsurers	234,264	-	4,601,495	18,480,767	6,298,203	752,735	30,367,464
Brokerage Commission	10,925	-	1,491,869	6,671,347	262,250	34,258	8,470,649
Less Commission Paid	-	-	1,297,801	5,299,391	-	-	6,597,192
Net Brokerage Commission	10,925	-	194,068	1,371,956	262,250	34,258	1,873,457
Other Income	-	4,800	-	1,034	20,755	560	27,149
Administration Expenses	23,703	13,500	87,699	777,739	260,325	83,193	1,246,159
Profit before Tax	(12,778)	(8,700)	106,369	595,251	22,680	(48,375)	654,447
Taxation	-	-	-	153,277	6,237	-	159,514
Profit/(Loss) after Tax	(12,778)	(8,700)	106,369	441,974	16,443	(48,375)	494,933

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Afro-Asian	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Share Capital	20	10,000	-	4	1,000	200,000	211,024
Share Premium	246,598	90,000	-	-	70,000	100,000	506,598
Non-Distributable Reserves	12,506	62,109	-	-	-	(158,306)	(83,691)
Retained Income	(150,829)	(45,027)	103,120	2,125,422	595,575	-	2,628,261
Shareholder's Equity	108,295	117,082	103,120	2,125,426	666,575	141,694	3,262,192
Liabilities							
Non-Current Liabilities	(13,396)	-	-	-	-	-	(13,396)
Current Liabilities							
Payable Premiums	65,469	-	759,700	23,766,405	992,537	219,765	25,803,876
Provisions	-	-	-	29,409	34,153	-	63,562
Sundry creditors	-	-	-	409,141	-	-	409,141
Other	2,992	-	178,763	-	56,482	137,577	375,814
Total Current Liabilities	68,461	-	938,463	24,204,955	1,083,172	357,342	26,652,393
TOTAL LIABILITIES & EQUITY	163,360	117,082	1,041,583	26,330,381	1,749,747	499,036	29,901,189
Land & Buildings	-	102,600	-	-	257,592	-	360,192
Furniture and Fittings	5,277	11,680	962	12,279	17,909	-	48,107
Motor Vehicles	-	-	-	-	62,687	-	62,687
Computer Equipment	693	1,080	-	6,086	2,879	675	11,413
Investments	-	-	-	-	-	99,456	99,456
Other	-	-	-	-	8,729	2,286	11,015
Total Non- Current Assets	5,971	115,360	962	18,365	349,796	102,417	592,871
Premium Receivable	-	-	-	24,155,129	368,494	-	24,523,623
Commission Receivable	-	-	113,101	-	-	-	113,101
Other Debtors & Inventory	-	1,500	-	858,046	234,962	148,661	1,243,169
Cash & Cash Equivalents	157,389	222	927,520	1,298,842	796,496	247,958	3,428,427
Total Current Assets	157,389	1,722	1,040,621	26,312,017	1,399,952	396,619	29,308,320
TOTAL ASSETS	163,360	117,082	1,041,583	26,330,382	1,749,748	499,036	29,901,191

Appendix 5: List of Registered Loss Assessors/Adjustors/Investigators as at 31 December 2015

Name	Address
1. Alpha & Omega Risk Management	26 Worcester Road, Eastlea, Harare
2. Autoplan Risk Management Consultancy	4338 Auckland Road, Southerton, Harare
3. AVS Risk Consultants	No. 110, 1st Showgrounds Samora Machel
4. Brilliant Assessors	35 Bold & Beautiful, 111A Fife Street, Bulawayo
5. Campbell & Prevost	113 Bishop Gaul Avenue, Kensington, Harare
6. Centurion Insurance and Risk Consultants	6-59th Avenue Haig Park Harare
7. Fornicle Risk Management Consultancy	11 Dendera Way, Zengeza 5, Chitungwiza
8. Golden Gate Risk and Loss Assessors	P.O. Box CY 620 Causeway, Harare
9. Guarantee Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
10. Lane Risk Management Consultancy	Suite 3 & 4 Stranchans Building Robert Mugabe
11. Light to Light Loss Adjusters	15180 Nkulumane Bulawayo
12. LM Consultancy (Pvt) Ltd	8-15 th Avenue, Mabelreign, Harare
13. Lycerine Risk Services International (Pvt) Ltd	Plot 1843 Westgate Bluffhill, Harare
14. Marin Assessors (Pvt) Ltd	16 Boscobel Drive West, Highlands, Harare
15. Markar Loss Assessors	IT Centre 117 Robert Mugabe Cnr. 3rd Harare
16. Millenium Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
17. Mornglows Assessors	3rd Floor, Pioneer House 8th Av/Fife St Bulawayo
18. New Generation Loss Adjusters	22 Brentwood Road, Riverside, Bulawayo
19. On Time Assessors (Pvt) Ltd	1409 Knowe, Norton
20. Persam Loss Assessors	40 Kwame Nkrumah, P.O. Box GT895, Harare
21. Platinum Loss Adjusters (Pvt) Ltd	7 Kuwirirana House G. Silundika Avenue
22. Ponnez Risk Management	7 Alfred Road, Greendale, Harare
23. Preferred Loss Assessors	27 George Silundika P.O. Box 6861, Harare
24. Tritate Risk Management Consultant	4414-62nd Crescent, Glenview 3, Harare
25. Vision Insurance Assessors	69 Samora Machel Avenue, Bard House, Harare
26. Wave Risk Management Consultancy	33 Avonlea Drive, Greencroft, Avonlea, Harare